The Smart Investor's Handbook

An educational beginner-to-confident guide to building wealth in India — for every kind of investor

2026 Edition

www.moneycompound.com • support@moneycompound.com • @moneycompoundwealth

AMFI-registered Mutual Fund Distributor • ARN: 140318

Table of Contents

> **How to read this handbook.** This is an educational guide. It explains what each idea or product is, why it matters, how it broadly works and how it is generally taxed. It does not tell you what to buy, in what proportion, or through which scheme. Any specific decision should follow a proper risk-profiling conversation with a qualified professional.

Chapter 01

Why Invest at All? Money, Inflation & the Real Goal

Saving protects the money you have. Investing gives that money a job to do.

Most people work hard for their money. Far fewer make their money work hard for them. The difference between the two, compounded over decades, is often the difference between a comfortable life and a stressful one. That is what investing is really about — not getting rich quickly, but giving your savings a purpose and a chance to grow.

The quiet problem: inflation

Money kept idle does not stay still in value — it slowly shrinks. Inflation is the steady rise in the cost of living. When prices rise faster than the interest your money earns, your purchasing power falls even though the number in your account looks the same. A sum that buys a full grocery basket today may buy noticeably less a decade from now. Investing is, at its heart, an attempt to grow your money faster than inflation erodes it.

Saving versus investing

Saving means setting money aside, usually somewhere safe and easily accessible. Investing means putting money into assets — such as funds, equities, bonds, gold or property — with the expectation that, over time, they may grow in value or generate income. Saving is the foundation; investing is what you build on top of it. You need both, in the right order.

What this handbook will do for you

- Explain the mindset and habits that quietly drive most investing outcomes.
- Walk through every major investment route available in India — in plain language.
- Show how each option broadly works, who it tends to suit, and how it is generally taxed.

- Help you ask better questions — so any decision you make is an informed one.

> **An important framing.** Nothing in this handbook is a recommendation to invest in any particular product, scheme, fund or asset, nor does it suggest any allocation. The right choice for you depends on a proper risk-profiling conversation with a qualified professional.

Chapter 02

The Money Mindset: Behaviour Beats Brilliance

If investing were only about intelligence, the smartest people would always be the wealthiest — and they are not. Some of the most important lessons in money are not about spreadsheets at all. They are about behaviour: patience, discipline, and the ability to stay calm when others panic.

Why temperament matters more than IQ

Markets rise and fall. The investor who keeps contributing through both, and resists the urge to react to every headline, often does better over decades than the brilliant analyst who jumps in and out at the wrong moments. Time in the market, paired with steady behaviour, tends to matter more than trying to time the market.

The two emotions to manage

Fear makes people sell good assets at low prices during downturns, locking in losses. **Greed** makes people chase whatever has recently gone up, often buying at high prices just before a fall. Recognising these two impulses — and building simple rules to counter them — is one of the most valuable skills an investor can develop.

Simple habits that protect you from yourself

- **Automate.** Decisions made once, in a calm moment, beat decisions made repeatedly under pressure.
- **Ignore the noise.** Daily price moves are entertainment, not information for a long-term plan.
- **Define your goals first.** A plan tied to a goal is far easier to stick with than a number on a screen.
- **Expect volatility.** Ups and downs are the price of admission, not a sign something is broken.

> **The key idea.** Building wealth is less about finding the perfect investment and more about avoiding big behavioural mistakes — and giving good decisions enough time to work.

Chapter 03

Build the Base: Budgeting & Cash Flow

Before any investment can grow, there has to be a surplus to invest. That surplus comes from understanding where your money goes each month. Budgeting is not about restriction — it is about giving every rupee a role so the most important goals are funded first.

A widely-taught starting framework

One of the simplest budgeting frameworks people learn is the **50 / 30 / 20** rule of thumb: roughly half your take-home income towards needs (rent, food, bills, EMIs), about a third towards wants (lifestyle, travel, leisure), and around a fifth towards savings and investments. It is a rough guide, not a rule — the right split for you depends on your income, city, family responsibilities and goals, and is meant to be adapted.

Pay yourself first

Most people invest whatever is left at the end of the month — and usually find that very little is left. A more reliable approach is to reverse the order: decide on a savings amount, move it out the moment your income arrives, and live on the rest. Treating savings as a fixed "bill to yourself" is one of the most effective money habits there is.

Track, then trim

You cannot manage what you do not measure. For a couple of months, simply record where your money goes. Patterns emerge quickly — small recurring leaks, forgotten subscriptions, impulse spends. Plugging these is often easier and faster than trying to earn more, and the freed-up cash can be redirected towards goals.

> **Watch your debt first.** High-cost debt — especially credit-card balances and certain personal loans — can quietly cost more each year than most investments are likely to earn. Clearing expensive debt is often one of the most powerful "returns" available to a household.

Chapter 04

Your Safety Net: The Emergency Fund

An emergency fund is money set aside for life's unexpected shocks — a job loss, a medical bill, an urgent home or vehicle repair. It is the single most important thing to build before investing seriously, because it stops emergencies from forcing you to sell investments at the worst possible time.

How much is "enough"?

A commonly taught guideline is to hold **3 to 6 months** of essential expenses, with the right figure depending on how stable and predictable your income is. The principle is simple: the less certain your income, the larger the cushion you may want.

Your situation	Commonly suggested cushion
Single, stable salaried job	~3 months of essential expenses
Married, with children	~6 months of essential expenses
Family with dependent parents	~6–9 months of essential expenses
Self-employed / variable income	~9–12 months of essential expenses

Where to keep it

An emergency fund has one job: to be available instantly and to hold its value. That usually means safe, highly liquid options rather than volatile, growth-oriented investments. The goal is not to earn the highest return on this money — it is peace of mind and quick access. Once your safety net is in place, you can invest the rest with a much calmer mind.

Why it matters so much. Without a buffer, a single unexpected expense can force you to break long-term investments early, take on costly debt, or both. The emergency fund is what lets your long-term money actually stay long-term.

Chapter 05

The Eighth Wonder: Compounding & Starting Early

Compounding is the process of earning returns not just on your original money, but also on the returns it has already generated. Over short periods it looks unremarkable. Over long periods it becomes the single most powerful force in personal finance.

How it works

Imagine your money grows by a certain percentage each year. In year one, you earn returns on your contributions. In year two, you earn returns on your contributions and on year one's returns. As the years pass, the "returns on returns" begin to dwarf what you originally put in. This snowball effect is why time is an investor's greatest ally.

Why starting early beats investing more

Because compounding rewards time so heavily, the years you spend invested often matter more than the exact amount you invest. A person who starts modestly in their twenties can end up ahead of someone who starts much later with larger amounts, simply because the early starter gave compounding more time to work. The lesson is not "wait until you can invest a lot" — it is "start with what you can, as early as you can."

The two enemies of compounding

- **Interruptions.** Withdrawing or pausing repeatedly resets the snowball and removes its most valuable later years.
- **Delay.** Every year you wait is, in effect, removed from the most powerful end of the curve — the far future.

> **A note on returns.** Returns are never guaranteed and will vary year to year — some years may even be negative. Compounding describes the mechanism by which money can grow over time; it is not a promise of any particular outcome. Past performance is not indicative of future results.

Chapter 06

Goal-Based Investing: Investing With a Purpose

Money without a goal is hard to manage and easy to spend. Goal-based investing flips the usual question. Instead of asking "what return can I get?", it asks "what am I investing for?" — and lets the goal shape every other decision.

Why goals come first

A goal gives each pool of money a deadline and a purpose. A house down-payment in three years, a child's education in fifteen, retirement in thirty — each has a very different time horizon, and time horizon is one of the biggest factors in how money is sensibly approached. Tying money to goals also makes you far less likely to disturb it on a whim, because abandoning the investment now means abandoning the goal.

Short, medium and long horizons

Broadly, goals fall into three buckets by time horizon: short-term (a few years away), medium-term (several years away) and long-term (a decade or more). The further away a goal, the more time there is to ride out short-term ups and downs. The closer a goal, the more important predictability and access tend to become. This is a way of thinking about goals — not a formula for what to buy.

Make goals specific

- **Name it.** "Retirement at 60", not "investing in general".
- **Date it.** Knowing when you need the money shapes everything that follows.
- **Size it.** Estimate the future cost, remembering that inflation will raise it.
- **Review it.** Goals change as life changes; revisit them periodically.

> **The mindset shift.** When investing is tied to real goals, market noise matters less. You are no longer chasing a number — you are funding a life you actually want.

Chapter 07

Know Yourself First: Risk Profiling

Every investment carries some form of risk, and every investor has a different capacity and willingness to bear it. Risk profiling is the process of understanding your own relationship with risk — before any product enters the conversation. It is the foundation on which sensible, personalised decisions are built.

The three dimensions of risk

Risk capacity is how much risk your finances can actually absorb — a function of income stability, time horizon, existing assets and responsibilities. **Risk tolerance** is how much risk you are emotionally comfortable with — how you would feel, and behave, if your investments fell sharply. **Risk requirement** is how much risk your goals may need you to take to be reachable. A good plan tries to reconcile all three.

Why this matters more than any "hot tip"

The same investment can be entirely appropriate for one person and quite unsuitable for another — not because the product changed, but because the people are different. This is precisely why this handbook does not recommend specific products or any allocation: those choices cannot be made responsibly without first understanding the individual. A scheme that suits a young earner with a long horizon may be a poor fit for someone who needs the money next year.

What a profiling conversation explores

- Your goals, their timelines and how essential each one is.
- The stability and growth outlook of your income.
- Your existing assets, liabilities and obligations.
- Your past experience with market ups and downs — and how you reacted.

> **The honest takeaway.** There is no single "best" investment — only what is suitable for a specific person, goal and time horizon. That suitability is established through risk profiling with a qualified professional, never from a generic list.

Chapter 08

The Investment Universe: Asset Classes Explained

An "asset class" is simply a category of investment that behaves in a broadly similar way. Understanding the main asset classes — what each is, and the role each can play — is the vocabulary you need before exploring any specific product.

Asset class	What it is	General character
Equity	Ownership in companies (shares, or equity funds)	Higher growth potential over long periods; higher short-term ups and downs
Debt / Fixed income	Lending money for interest (FDs, bonds, debt funds)	More stable and predictable; generally lower growth potential
Gold	A traditional store of value	Often moves differently from equity; valued in uncertain times
Real estate	Physical property	Tangible; can give rent and value change; low liquidity, high ticket size
Cash & equivalents	Savings, liquid holdings	Highly safe and accessible; lowest growth, vulnerable to inflation

The risk–return relationship

A central idea ties all of these together: in general, the potential for higher returns comes with a greater chance of short-term ups and downs, while greater stability usually comes with more modest growth. There is no option that is simultaneously high-return, perfectly safe and instantly accessible. Understanding this trade-off — rather than searching for a product that breaks it — is what separates informed investors from disappointed ones.

Why no single asset class "wins"

Different asset classes tend to perform well at different times. One may shine in a given year while another lags, and the leaders rotate unpredictably. This is the reasoning behind diversification, which Chapter 15 explores. For now, the key takeaway is that each asset class has a role, and none is inherently "good" or "bad" — only more or less suited to a particular purpose.

Chapter 09

Mutual Funds & SIPs: India's Most Popular Route

For millions of Indian households, mutual funds have become the default way to access markets. They pool money from many investors and have it managed professionally across a basket of securities — offering diversification and convenience that would be hard to build alone. As an illustration of scale, industry assets under management stood at around ₹81.92 lakh crore as on 30 April 2026, roughly a six-fold rise over the past decade, with more than 23 crore investor folios (Source: AMFI).

What a mutual fund is

When you invest in a mutual fund, your money is combined with that of thousands of others. A professional fund manager invests this pool according to the fund's stated objective, and you own "units" representing your share. The value of each unit (the NAV) rises and falls with the underlying holdings. Broadly, funds fall into **equity**, **debt** and **hybrid** families, each with many sub-categories suited to different objectives and risk profiles.

The SIP: investing in disciplined instalments

A Systematic Investment Plan (SIP) lets you invest a fixed amount at regular intervals rather than all at once. This builds discipline, removes the temptation to time the market, and means you buy more units when prices are lower and fewer when they are higher — an effect known as rupee-cost averaging. SIPs are a major reason mutual funds have reached so deeply into Indian households.

How mutual funds are generally taxed (India)

Taxation depends on the type of fund and how long you hold it. Equity-oriented and non-equity (debt-oriented) funds are taxed under different rules, and gains are classified as short-term or long-term based on the holding period, each attracting different treatment. Tax rules also change from time to time. Because the details are specific and evolving, confirm the current position for your situation with a qualified tax professional before acting.

> **Important.** This handbook does not name or recommend any scheme, fund house or category to buy, sell or hold, and does not suggest any allocation. Which fund (if any) suits you depends entirely

on your risk profile and goals. Mutual fund investments are subject to market risks; read all scheme related documents carefully before investing.

Chapter 10

Direct Equity: Owning a Slice of a Business

Buying a share means buying a small piece of a real company. Direct equity is the most hands-on way to participate in the growth of businesses — offering the highest degree of control, and demanding the most knowledge, time and emotional discipline in return.

How it works

Shares are bought and sold on stock exchanges through a demat and trading account. As a shareholder, you may benefit in two ways: capital appreciation if the share price rises, and dividends if the company chooses to distribute part of its profits. You also bear the full risk — the price can fall, and individual companies can underperform or fail entirely.

The difference from mutual funds

With direct equity, you make every decision yourself: which companies, when to buy, when to sell. There is no fund manager and no built-in diversification — concentration in a few stocks raises both potential reward and potential risk. This is why direct equity generally suits those willing to research businesses, accept volatility and stay invested through cycles, rather than those seeking a hands-off approach.

How direct equity is generally taxed (India)

Gains on listed shares are classified as short-term or long-term depending on the holding period, with different tax treatment for each, and dividends are taxable in the investor's hands. As with all tax matters, rates and thresholds can change, so verify the current rules for your circumstances with a qualified tax professional.

> **A word of caution.** Direct equity rewards research and patience and punishes impulse. Tips, rumours and the fear of missing out are among the most common causes of losses. Nothing here recommends any stock; this is an explanation of how the route works, not a suggestion to use it.

Chapter 11

Fixed Income: FDs, Bonds, PPF & Small Savings

Fixed income is the stabilising counterweight to growth assets. These instruments are, in essence, ways of lending money — to a bank, a company or the government — in return for interest. They tend to be more predictable than equity, which is exactly their purpose.

The main building blocks

- **Fixed deposits (FDs):** Money placed with a bank for a fixed term at a fixed rate. Simple, familiar and predictable.
- **Bonds:** Loans to governments or companies that pay periodic interest and return the principal at maturity. Quality and tenure vary widely.
- **Public Provident Fund (PPF):** A long-tenure, government-backed savings scheme popular for its stability and tax features.
- **Small savings schemes:** A family of government-run options designed for specific savers and goals.
- **Sovereign Gold Bonds (SGBs) & G-Secs:** Government-issued instruments linked to gold or to government borrowing.

The role fixed income plays

Fixed income is generally used for stability, predictability and capital preservation rather than high growth. It can provide a steadier base within a wider plan and a source of funds for nearer-term needs. The trade-off is that returns are typically more modest, and may at times struggle to stay ahead of inflation — which is why most plans combine fixed income with growth assets rather than relying on it alone.

Taxation, in brief (India)

Different fixed-income instruments are taxed differently — some interest is fully taxable, while certain government schemes carry specific tax treatment. Because the rules vary by instrument and change over time, confirm the current position for any specific option with a qualified tax professional.

> **The takeaway.** Fixed income is not about chasing the highest number — it is about certainty, liquidity for near-term goals, and balancing the swings of growth assets.

Chapter 12

Gold & Real Estate: The Traditional Favourites

Few assets are as deeply woven into Indian financial life as gold and property. Both are tangible, both carry strong cultural significance, and both can play a role — provided their characteristics are understood rather than assumed.

Gold

Gold has long been valued as a store of wealth and is often held as a hedge during uncertain times, because it tends to behave differently from equities. Today it can be held not only as physical jewellery or coins, but also in paper and digital forms such as gold funds, gold ETFs and Sovereign Gold Bonds — each with different costs, convenience and tax treatment. Gold typically does not generate income; its appeal lies in diversification and as a perceived safe haven, not in producing a yield.

Real estate

Property can offer two potential benefits: rental income and a change in the property's value over time. It is tangible and familiar, which many investors find reassuring. But it also carries distinctive challenges: large ticket sizes, low liquidity (it cannot be sold quickly or in parts), transaction and maintenance costs, and concentration risk — a single property is a large, undiversified bet. For those wanting property exposure without owning a building, instruments such as REITs have emerged as a more liquid alternative.

How they are generally taxed (India)

Both gold and real estate attract capital-gains tax that depends on the form held and the holding period, and rental income is taxable. The specifics differ meaningfully between physical gold, paper gold and property, and the rules evolve — so verify the current treatment for your situation with a qualified tax professional.

> **A balanced view.** Gold and property both have a place in many households, but neither is automatically a good "investment" simply because it is traditional. Liquidity, costs and concentration deserve as much attention as potential gains.

Chapter 13

Protect Before You Grow: Insurance Basics

Insurance is not an investment — and treating it as one is a common and costly mistake. Its job is protection: to shield your family and your savings from financial shocks that could otherwise undo years of careful planning. A sound financial plan protects first, then grows.

The principle: keep protection and investment separate

The clearest approach is to let insurance do one job — protect — and let investments do another — grow. Products that bundle the two together can dilute both, often providing modest cover and modest returns at higher cost. Understanding the two needs separately usually leads to better, cheaper protection and more flexible investing.

The two forms of cover most households need

- **Term life insurance:** Pure life cover that pays a lump sum to your family if you pass away during the policy term. Because it carries no investment component, the cover for each rupee of premium is typically high — making it an efficient way to protect dependants.
- **Health insurance:** Covers hospitalisation and medical costs, which have been rising steadily. A single major medical event can drain savings quickly; adequate health cover is what keeps your investments from becoming an emergency fund.

How much cover?

The right amount of life cover depends on your dependants, income, liabilities and goals — enough that your family could maintain its life and meet obligations in your absence. Health cover should reflect realistic medical costs in your city and family situation. As with everything in this handbook, the specifics should follow a proper needs assessment, not a rule of thumb.

> **The order matters.** Protection comes before growth. An uninsured emergency can wipe out an investment portfolio; insurance is what lets the portfolio survive life's surprises.

Chapter 14

Tax-Smart Investing: Regimes, 80C, ELSS & NPS

Taxes quietly shape real, in-hand returns. Being "tax-smart" does not mean making decisions purely to save tax — it means understanding how tax interacts with your choices so that what you keep, after tax, is as healthy as possible.

The two tax regimes

India offers a choice between an older regime with various deductions and exemptions, and a newer regime with different (generally lower) slab rates but fewer deductions. The better fit depends on your income, the deductions you actually use and your overall situation — there is no universally "correct" choice. This is a decision worth running carefully, ideally with a qualified tax professional, each year.

Common tax-linked routes (explained, not recommended)

- **Section 80C instruments:** A basket of options that can offer deductions under the old regime, each with its own features, lock-ins and risk character.
- **ELSS (tax-saving equity funds):** Equity mutual funds with a statutory lock-in that may qualify for deduction under the old regime — carrying equity-market risk like any equity fund.
- **National Pension System (NPS):** A long-term, retirement-focused scheme with its own tax features and withdrawal rules.

The right way to think about it

The goal is to choose investments that suit your goals and risk profile first, and then ensure they are structured tax-efficiently — not to let the tax tail wag the investment dog. A product that saves tax but does not suit you is rarely a good outcome.

> **Please note.** Tax laws are detailed and change frequently. Nothing here is tax advice or a recommendation of any instrument. Confirm the current rules and what applies to you with a qualified tax professional before acting.

Chapter 15

Diversification, Asset Allocation & Rebalancing

These three ideas are the architecture of a sensible portfolio. They are not about picking winners; they are about structuring a mix that can weather different conditions and stay aligned with your goals over time.

Diversification: not putting all your eggs in one basket

Because different assets tend to perform well at different times, spreading money across several of them can reduce the impact of any single one disappointing. Diversification does not eliminate risk, and it will not make every year a good year — but it can smooth the journey and reduce the danger of a single concentrated bet going wrong.

Asset allocation: the mix that matters most

Asset allocation is the proportion of your money across asset classes — equity, debt, gold and so on. It is widely regarded as one of the biggest drivers of long-term outcomes. Crucially, there is **no single correct allocation**: the appropriate mix depends entirely on your goals, time horizon and risk profile, and it differs from person to person. For this reason, this handbook deliberately does not prescribe percentages — your allocation should be arrived at through risk profiling with a qualified professional.

Rebalancing: keeping the mix on track

Over time, as some assets grow faster than others, a portfolio drifts away from its intended mix — and often becomes riskier than planned without you noticing. Rebalancing is the periodic act of bringing it back towards the intended allocation. It is a disciplined, unemotional process that, by design, tends to trim what has run up and top up what has lagged.

> **The big idea.** How you divide money across asset classes usually matters more, over the long run, than which specific product you pick within each class — and that division must be personal to you.

Chapter 16

Retirement & Financial Independence

Retirement is the longest and most important goal most people will ever fund — and the one most often left until late. Financial independence, more broadly, is the point at which your investments can support your lifestyle without depending on active income. Both are reached the same way: by starting early and being consistent.

Why retirement is uniquely challenging

Retirement combines several difficulties at once: it is far away (so it is easily postponed), it is expensive (you may need to fund decades without a salary), and it is exposed to inflation (which keeps raising the cost of living throughout your retired years). There is also no loan available for retirement the way there is for a house or education — you must save for it yourself.

The idea behind FIRE

"Financial Independence, Retire Early" (FIRE) is a movement built on a simple insight: by saving and investing a meaningful share of income consistently, and letting compounding work over time, financial independence can be reached earlier than convention assumes. Whether or not one pursues FIRE in full, its core lessons — live below your means, invest the difference, start early, and respect compounding — benefit every investor.

Practical principles

- **Start now, even small.** The earliest contributions do the heaviest lifting.
- **Increase with income.** Step up your investing as your earnings grow.
- **Protect the corpus.** Avoid dipping into long-term retirement money for short-term wants.
- **Plan for inflation.** The cost of your future lifestyle will be higher than today's.

Chapter 17

Common Mistakes Investors Make

Most poor investing outcomes do not come from picking the "wrong" product. They come from a handful of avoidable mistakes — nearly all of them behavioural. Recognising these in advance is one of the most valuable things an investor can do.

The recurring traps

- **Trying to time the market.** Waiting for the "perfect" moment usually means missing out; consistency beats timing for most people.
- **Chasing past performance.** Last year's star is not guaranteed to lead next year; recent winners are often bought just before they cool.
- **Reacting to headlines.** Selling in panic during falls and buying in euphoria during rallies is the surest way to buy high and sell low.
- **Investing without a goal.** Money with no purpose is easily disturbed and hard to stay committed to.
- **Skipping the emergency fund and insurance.** Without these, the first real shock forces long-term investments to be broken early.
- **Confusing insurance with investment.** Bundled products often serve neither need well.
- **Ignoring costs and taxes.** Fees and taxes quietly reduce real returns over time.
- **Over-concentration.** Betting too heavily on a single stock, sector or property raises the stakes dangerously.
- **Acting on tips.** Decisions driven by rumours or the fear of missing out rarely end well.

> **The common thread.** Almost every item on this list is about behaviour, not knowledge. A simple plan, followed patiently, avoids most of them — which is why discipline tends to beat cleverness over time.

Chapter 18

Getting Started: A Simple Awareness Checklist

Knowledge only helps once it turns into action. This checklist is not a set of instructions on what to buy — it is an awareness sequence: the order in which most well-built financial lives tend to come together. Use it to see where you stand and what to think about next.

The foundation

- Track your income and expenses for a couple of months so you know your real surplus.
- Clear or contain high-cost debt before investing seriously.
- Build an emergency fund sized to your situation, kept safe and accessible.
- Put adequate term life cover and health insurance in place for your dependants.

The structure

- Write down your goals — named, dated and roughly costed.
- Understand your own risk profile across capacity, tolerance and requirement.
- Learn how each asset class and product works (this handbook is a starting point).
- Choose the tax regime and structure that genuinely fit your situation.

The discipline

- Automate regular investing so good decisions happen without willpower.
- Review your plan periodically and rebalance towards your intended mix.
- Ignore short-term noise; stay anchored to your goals.
- Speak to a qualified professional before any specific decision — so it fits you.

> **Remember.** This is an awareness sequence, not personalised advice. The specific products, amounts and allocation that suit you can only be decided through proper risk profiling with a qualified professional.

Chapter 19

Glossary of Key Terms

Term	What it means
Asset class	A category of investment that behaves in a broadly similar way (e.g. equity, debt, gold).
Asset allocation	How money is divided across asset classes — a major driver of long-term outcomes.
Compounding	Earning returns on both your money and the returns it has already produced.
Diversification	Spreading money across investments to reduce the impact of any single one.
Equity	Ownership in a company, held as shares directly or through equity funds.
Fixed income / debt	Lending-based instruments (FDs, bonds, debt funds) that pay interest.
Inflation	The steady rise in the cost of living that erodes money's purchasing power.
Liquidity	How quickly and easily an asset can be converted to cash without loss of value.
NAV	Net Asset Value — the per-unit value of a mutual fund.

Rebalancing	Periodically restoring a portfolio to its intended asset mix.
Risk profile	Your capacity, tolerance and requirement for risk taken together.
Rupee-cost averaging	Buying more units when prices are low and fewer when high, via regular investing.
SIP	Systematic Investment Plan — investing a fixed amount at regular intervals.
Term insurance	Pure life cover with no investment component, paying out on death during the term.
Time horizon	How long until you need the money for a goal.
Volatility	The extent to which an investment's value moves up and down over time.

About Money Compound

Money Compound is built on a simple belief: that sound financial decisions begin with clear, honest education. Our purpose is to help people understand money well enough to make confident, informed choices — and to grow financially strong over time.

What we stand for

We are an AMFI-registered Mutual Fund Distributor (ARN: 140318). Across our handbooks, newsletters and content, our aim is to demystify investing — explaining how things work in plain language, without jargon, hype or pressure. We serve both resident Indians and the wider community of NRIs, particularly across the Gulf and the Middle East.

Our companion guides

This handbook is a general, all-investor introduction. If you are a Non-Resident Indian, our separate NRI Investment Guide covers the additional layers that apply to you — NRE / NRO / FCNR accounts, repatriation, DTAA and taxation, GIFT City, and more. We also publish weekly and monthly market editorials to keep you informed.

How to reach us

Website: **www.moneycompound.com**
Email: **support@moneycompound.com**
Phone: **8447496480**

> **Education first.** Everything we publish is designed to inform, not to push. Any specific decision should be made after a proper, personalised conversation that takes your full situation into account.

Disclaimer & Important Information

Educational purpose only. This handbook is provided by Money Compound for general educational and awareness purposes only. It does not constitute investment advice, financial planning advice, tax advice, legal advice or a recommendation of any kind. It does not suggest any asset allocation and does not recommend any specific scheme, fund, stock, sector, product or strategy to buy, sell or hold.

No solicitation. Nothing in this document is an offer, solicitation or inducement to buy or sell any security, scheme or financial product. References to products and asset classes are illustrative and explanatory only.

Suitability and personalised advice. Investments must be chosen on the basis of an individual's own goals, time horizon and risk profile. What is suitable for one person may be entirely unsuitable for another. Before making any financial decision, please consult a qualified and appropriately registered professional, and read all relevant documents carefully.

Market risk. Mutual Fund investments are subject to market risks. Read all scheme related documents carefully before investing. The value of investments can go down as well as up, and you may get back less than you invested.

No assured returns; past performance. No assured, guaranteed or indicative returns are promised or implied anywhere in this document. Past performance is not indicative of future results and should not be relied upon when making decisions.

Accuracy and data. Information and figures (including any market or industry statistics) are believed to be reliable as at the dates indicated and are drawn from publicly available sources, but accuracy or completeness cannot be guaranteed. Data, tax laws and regulations are subject to change. Please verify current figures and rules independently before relying on them.

Taxation. Any references to taxation are general and simplified, and may not reflect the latest position or your personal circumstances. Tax treatment depends on individual facts and prevailing law. Consult a qualified tax professional for advice specific to you.

Regulatory status. Money Compound is an AMFI-registered Mutual Fund Distributor (ARN: 140318). As a distributor, we facilitate access to mutual fund products and provide educational information; we do not provide investment advisory services unless separately and explicitly agreed in writing under the applicable regulatory framework.

Sources for industry data referenced (as at dates shown): Association of Mutual Funds in India (AMFI) — industry AUM as on 30 April 2026 and folio data (FY2025). Figures are indicative and should be verified against the latest AMFI releases before use.